

Tempus AI, Inc.

TEM NASDAQ

Buy	\$60.26 ▲ 5.21%	12M Price Target \$72.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.82B
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TEM: Agentic Oncology Platform Reignites the AI Healthcare Bull Case

WHAT HAPPENED

- Stock bounced 5.2% today after yesterday's dip to \$57 — the setup here is that Freedom Capital just initiated coverage (new Wall Street analyst officially covering the stock, which typically brings fresh buyers), and the "agentic oncology" platform launch from last week is still getting airtime. Translation: the market briefly panicked on insider selling and used the dip to reload.
- Options desks are leaning bullish — the put/call ratio is 0.37 (meaning nearly 3 calls bought for every put, which is a bet on the stock going up). But note the unusual \$56 puts too — someone's hedging downside just in case.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Insider cluster selling is real — the CEO and Chairman dumped ~\$1.8M in shares in late June. Not a fire sale, but not a vote of confidence either.
- Cash burn — they're still losing money and will likely need to raise capital again within 18-24 months, which dilutes existing shareholders (your slice of the pie shrinks).
- The non-obvious risk: if CMS (Medicare) pushes back on reimbursement rates for AI-interpreted diagnostics — something being quietly debated — TEM's core margins get squeezed even as revenue grows.

IN THE NEWS

Freedom Capital Initiates Coverage of Tempus AI, Inc. (TEM) Insider Monkey · 2026-07-08 19:20

Tempus AI (TEM) Launches Next-Gen Agentic Platform to Accelerate Oncology Research Insider Monkey · 2026-07-06 18:25

Tempus AI (TEM) Leverages AI for Precision Medicine Advancements Insider Monkey · 2026-07-06 00:15

CareDx Acquires Naveris, Extends Leadership into High-Growth Specialty Oncology Exec Edge · 2026-07-02 22:41

Tempus AI (TEM) Stock Looks Below Fair Value After Its 19% Jump Simply Wall St. · 2026-07-02 15:13

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$60.26
12M Price Target	\$72.00
Upside / (Downside)	+19.5%
Market Cap	\$10.82B
FY2026E Revenue	\$720M
FY2027E Revenue	\$965M
FY2026E EPS	(\$1.95)
FY2027E EPS	(\$1.30)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$62.00	\$54.00
6 Months	\$82.00	\$68.00	\$48.00
1 Year	\$95.00	\$72.00	\$42.00
2 Years	\$130.00	\$88.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.45% today) is leading — AI names getting a bid as investors position for a data-heavy earnings season. Healthcare AI is a sub-sector benefiting from both the tech tailwind AND continued federal precision-medicine funding.

COOLING OFF: Consumer Discretionary is soft (-2% over five days) — signals investors are getting defensive, rotating away from anything tied to consumer spending toward secular growth stories.

ROTATION WATCH: Money is quietly rotating from mega-cap tech into mid-cap AI-adjacent names with real revenue — TEM sits in that sweet spot. This is a tailwind, not a headwind.

RELATED PLAY: If TEM's precision-oncology thesis works, the diagnostic instrument makers (think Illumina) and clinical-trial-focused CROs also benefit — they're the picks-and-shovels behind the same trend.

WHO'S WINNING IN THIS SPACE?

- RXXR (Recursion Pharmaceuticals): AI drug-discovery peer catching the same agentic-AI tailwind.
- VEEV (Veeva Systems): Healthcare data infrastructure name — steady beneficiary of pharma digitization.

TEM CONTEXT: TEM is leading its immediate peer group today on the platform launch news, but lagging the 52-week highs badly (still 42% off the peak of \$104). That tells me sentiment has reset — the easy money's been made on the initial hype, and from here it's a "show me the numbers" story tied to the August earnings print.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story but the insider selling and cash burn keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — the upside is asymmetric, but so is the downside. Don't overweight a company still losing money.

ENTRY POINTS: I'd wait for pullbacks to \$52-56 (the recent support zone) to add. Chasing \$60+ into earnings feels aggressive.

TIME HORIZON: 12-24 months. The near-term catalyst is Q2 earnings in early August; the medium-term catalyst is Medicare coverage decisions and pharma partnership announcements.

WHEN TO BAIL: If revenue growth slows below 25%, if they announce a dilutive capital raise, or if another senior insider sells a big block — I'm trimming or out.

HEDGING: Simplest way — keep the position sized small enough that a 30% drawdown doesn't hurt. If you want to get fancy, buy cheap out-of-the-money puts around earnings as insurance.